1. The Marketing Mix: Place

1.1. Why are place decisions an important part of the marketing mix?

- Place is the process through which the product reaches the customer from the manufacturer.
- A correct distribution channel is necessary –
  - Consumers need the product to be convenient and accessible
  - Manufacturers need their outlet to be in line with their brand image
  - Every intermediary will add its profit margin, so it depends on the price the manufacturer wants

1.2. Distribution

Concept of distribution

- The right product needs to reach the right consumer at the right time in the most convenient way possible
- Supply chain refers to all the intermediaries involved in getting the product to the end consumer

Customer service as objective of distribution

- Distribution channels chosen may not always be the cheapest
- Customer service is the main objective of distribution, therefore convenience to customers may also be a very important factor when deciding the distribution channel
- Businesses even use internet and e-commerce facilities to make it more accessible to customers

1.3. Channels of distribution

1. Manufacturer → Consumer
   - Direct selling to customers
   - No intermediaries adding their profit margins to products, lower prices and higher profits
   - Has complete control of the marketing mix
   - Quicker
   - Fresher food available to consumers
   - Direct contact with customers
   - Expensive – storage and stock costs
   - No retail outlets, limits promotion from physical shop/website
   - Not convenient for customers
   - No advertising done by intermediaries
2. Manufacturer → Retailer → Consumer
   - Retailer pays for stock and storage costs
   - Retailer offers after sales service and has product displays
   - Available in many locations – convenient for customers
   - Producers can focus on production
   - Retailer promotes and advertises the product
   - Intermediary adds profit margin, more expensive to consumers
   - Producer loses SOME control over the marketing mix
   - No exclusive outlet, may sell competing products
   - Producer bares delivery costs
3. Manufacturer → Wholesaler → Retailer → Consumer
   - Wholesaler buys in bulk, reducing storage costs for producer
   - Wholesaler bares transport costs to retailers
   - Wholesaler break bulk by selling small quantities to different retailers
   - More convenient for customers
   - Best way to enter foreign markets
   - Higher final prices as more intermediaries add profit margins
   - Producer further loses control over marketing mix
   - Slow distribution chain
   - No direct contact with customers

1.4. Factors influencing choice of distribution channel

- Industrial product or consumer product
- Geographical dispersion of target market
- Level of service customers expect
- Technical complexity of the product
- Unit value of product
- Number of potential customers
- Competitors actions
- Integration impact of distribution channel with other marketing mix components

Bright side to choosing the right distribution channel:

- Consumers can benefit from easy access to products. They can see, try, and buy items easily, with the option to return them if deemed necessary.
- Manufacturers need stores that have broad market distributing reach to numerous areas while also promoting the product's image effectively.
- Retailers sell directly to consumers and add a markup for profit. If keeping prices low is important, using fewer middlemen can help manufacturers offer lower prices.

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1.5. Internet and E-commerce

- Internet is transforming the ways in which businesses market their products and manage relationships with customers
- Selling goods directly to consumers (B2C) or to businesses (B2B) through **e-commerce**
- Online and mobile advertising (pop ups, social media, websites)
- Sales contacts are established by visitors leaving their details on sites
- Collecting market research data by encouraging visitors on the websites to answer questions
- Ability to use dynamic pricing

E-commerce:

Selling and marketing activities that uses the internet, email and mobile communications to encourage direct sales via electronic commerce.

Benefits of E-commerce:

- Comparatively cheaper if measured against the number of people reached.
- Access to worldwide audience for a fraction of traditional advertising costs.
- Websites allow consumers to buy and share important data.
- Easy for consumers to use if they have a computer, mobile or laptop, etc.
- Accurately measure clicks and the success of web promotions.
- Increasing computer and smartphone use worldwide, making e-commerce a thriving marketplace.
- Online sales have lower fixed costs than physical stores, decreasing cost of product which increase incentive for purchase for certain demographics.
- Dynamic pricing makes it easier to charge different prices for different consumers.

Limitations of E-commerce:

- Some countries have slow internet and limited computer access, especially in poorer regions.
- Consumers can't physically inspect products, which may reduce online purchases.
- Product returns may rise if customers are unhappy with what they receive.
- High costs and unreliable postal services can reduce the benefits of online selling.
- Websites need to be regularly updated and user-friendly, and creating good ones can be costly.
- Concerns about internet security and data privacy may limit future growth.

1.6. Physical Distribution

The activities that combine to achieve the efficient movement of finished products from the end of the production operation to the consumer. They are received by paper, optical discs and film cassettes.

Digital Distribution

the delivery or distribution of digital media content such as audio, video, TV programmes, films, software, and video games.

It also involves streaming and downloading of content. Promotor of this form of distribution asserts that music writer/performers through this can:

- Distribute music globally via platforms like iTunes, Spotify, and Google Play.
- Avoid high costs of physical distribution.
- Grow a global fan base.
- Keep 100% of revenue.
- Use an eco-friendly distribution method with no transport or packaging.

1.7. An integrated marketing mix

Key marketing decisions that complement each other and work together to give the customers a consistent message regarding the brand's product.

- If the marketing mix is not integrated, it may confuse customers who will stay away from the product and find alternatives. This will lower long-term sales

Examples of poorly integrated marketing mix:

Here's a shortened version of the bullet points:

- Would you not find it suspicious if you find an expensive shoe being sold on a market stall?
- Would it be surprising if an exclusive shop wrapped gifts in newspaper?
- Would a children's clothing ad in a magazine for professional women generate sales?
- Mixed messages about a product can confuse its identity.
- If a product looks cheap but is expensive, are we being overcharged, or is the quality higher than it seems?
- If a product looks expensive but is cheap. Is it a great deal or low quality?

The most effective marketing decisions will –

- Based on the marketing objectives
- Affordable within the marketing budget
- Integrated and consistent with each other

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